Sourcing Hints That Start-ups And MSMEs Can't Afford To Neglect

When should a start-up start planning sourcing of the components for their products, and how can they ensure that they get the components that they need on a regular basis, without any break, and at the right price? These are some of the things that are important for any manufacturer, but more so for a new start-up or MSME

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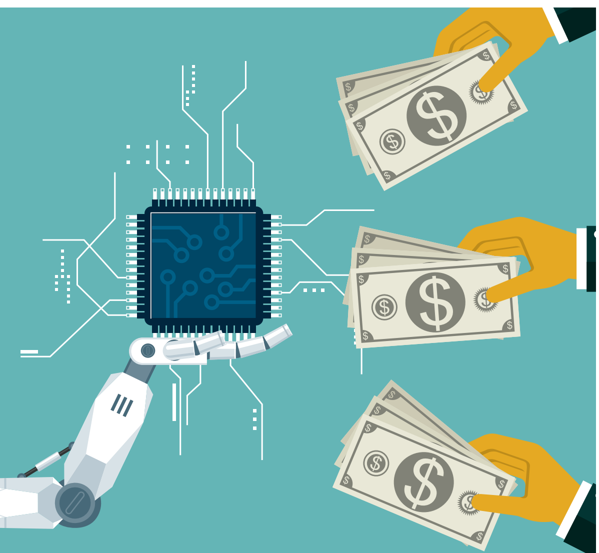
Raising funds is one of the toughest tasks for a start-up today. Be it a software, services, or a hardware start-up, the grind is almost similar for each. However, there is an additional challenge that a hardware start-up has to address, unlike any other. It is related to making a choice between the set of components available in the market.

"Components contribute 40% towards the bill of materials (BoM) of any electronic product or system. If we take out the PCB and electro-mechanical parts from the 40% BoM cost, then the semiconductors, passives, connectors, and the display contribute around 30% to the cost. The big companies manufacturing consumer electronics and mobile phones usually import completely knocked down (CKD) kits. None of the mobile phones are designed in India. Component sourcing, for these big companies, is not a big challenge," says Sanjeev Keskar, CEO, Arvind Consultancy.

He adds, "But a lot of big distributors find it challenging to work with start-ups owing to the minimum order quantity targets. Also, if you look at the global components industry, you will find that it is a cyclic industry. Sometimes it has surplus capacity and sometimes it faces shortage of components. The big companies always get priority from component makers and suppliers."



Many pieces: Same puzzle

A big challenge that a lot of start-ups and MSMEs face is in sourcing the set of components that complement each other. There are sensors, resistors, capacitors, connectors, microcontrollers, FPGAs, MOSFETs, transistors, diodes, and more.

"If you get 98 components out of the required 100, you cannot get your product manufactured. That, I think is the biggest problem that most of the start-ups and MSMEs are facing," explains Keskar.

Another piece of the puzzle revolves around the pricing of the components or the kits of components available in the market. The challenge also includes the credit facilities that are generally not available for start-ups and MSMEs.

"Start-ups and MSMEs have to pay in advance to procure the components and, often, the supplier delivers only 92 components (as an example) out of the100 required and pushes the date forward by one or two months for the remaining components. This loss of time results in skyrocketing of inventory holding costs for a start-up or an MSME," explains Keskar.

Another challenge faced by a lot of start-ups and MSMEs is the 'just in time' need of the inventory. It is a known fact that India depends on imports of components from countries like China and Taiwan. The lead time for a component is generally 30 to 45 days.

"The lead time of 30 to 45 days when added with the time taken for customs clearance, and the price of maintaining the inventory for all these days, can create a huge disability for start-ups and MSMEs in electronics hardware. The inventory maintenance costs, freight costs, and the cost of finance add a disability of eight to ten percent for start-ups and MSMEs in India," says Keskar.

He adds, "On one hand start-ups and MSMEs are facing a disability of eight to ten percent and on the other they are competing against global brands. In the end market, these start-ups and MSMEs have to be competitive in the pricing part as well."

Though some respite for some of these challenges is offered by the online market and local traders sitting in places like New Delhi's Nehru Place market, the costs involved in